

EVEN 50 YEARS AGO, Tiruppur was just a small town on the way to Coimbatore. A 'smart city' now, its streets bear the unmistakable stamp of its pumping heart—the knitwear industry. The lanes looping in and out of the main roads—much like a knitted fabric—are lined with shops that could topple under the weight of bundles of buttons, zippers and laces; outlets selling sewing machines and offering repair services; homes doubling up as mini-factories; and a host of other shops that play some role in clothing Americans and Europeans.

It has proved to be a resilient city after several shocks like the 2008 economic crisis, a 2011 Madras High Court ruling against its effluent discharging plants, demonetisation and GST. Just as global demand for garment exports was picking up following a receding Covid-19 pandemic, the yarn price hike is breaking its back again.

"Indian exports happen mostly on cotton or a mix of cotton," says Esstee's Thirukkumaran. But cotton-based exports have reached their saturation point as far as India is concerned because all the basics have gone to Bangladesh, exporters say. It may increase, but it's not going to double our global share. "Getting a five-pocket jeans or shorts made in India will simply

not work out for buyers. The cost of making it here is double," says Raju. In fact, some Indian brands and retailers also get their basic shirts, T-shirts and trousers made in Bangladesh, the exporters add.

China, the juggernaut with more than 40 per cent market share, is clobbering India by taking the synthetic route. "They are masters of man-made fibres (MMF) and apparels made from them—mainly polyester, polyester blends and nylon. It's what goes into making swimwear, winter items and long dresses worn by women," says Raju. Sakthivel says competitors' portfolios consist of 15 per cent cotton and 85 per cent polyester garments. "We are doing it the other way around. We should aim for a 50:50 balance between MMF and cotton."

In India, you'll see most youngsters wearing only polyester T-shirts because it is easy to maintain, says Raju. A good 50-60 per cent of the global trade is in MMF, says Thirukkumaran. "But we lack the technical know-how to make, say, 100 per cent modal, 100 per cent viscose or polyviscose fabric of international standards at competitive rates. The processing is very costly here."

The process of converting yarn into wearable garments involves crucial fabric processing functions like dyeing, washing and combating. They make the raw fabric suitable to be cut and sewn into garments. The nuances such as which needle gauge to use to knit fabrics, how to dye and how to control its shrinkage differ for synthetics and cotton. But before getting to the fabric stage, there are only a handful of companies that make high-quality synthetic yarns. Surat has a lot of polyester mills, but they do not match up to the quality offered by China, South Korea, Taiwan or Thailand, the exporters say.

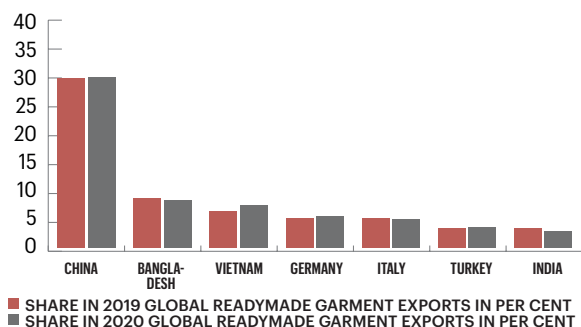
"All the fabrics that go into women's lingerie come from Thailand. What India makes cannot be used," says Raju. Besides, the exporters say, synthetic fabric manufactured here is 30 per cent more expensive than what China does. "I might as well buy it from China," says Krish. So the exporters question how China's orders can come to India, adding that they need training in these areas.

"The performance-linked incentive (PLI) scheme will help us with joint ventures, collaboration and technology transfer from South Korea and Taiwan to make synthetic fabrics. It may take a year or so for round-the-year production to happen and our exports will also increase," says Sakthivel. The SME garment exporters of Tiruppur may not directly participate in the Centre's ₹10,683-crore scheme since it requires a minimum investment of ₹100 crore. But they are optimistic. "The PLI scheme will bring in big players to install processing houses and that's how the weak link (in MMFs) can be minimised," says Thirukkumaran.

There's also a lot of cheer around India's recent free-trade agreements (FTAs) with Australia and the UAE. The FTAs, which will take time to kick in, essentially fa-

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